PORTFOLIO PROJECT · REAL DATA: BANK OF CANADA AND STATISTICS CANADA, 2010 TO 2026

Household credit and interest rates: how fast does borrowing respond?

Start here: the question, the headline numbers, and how to use this report.

The question: When the Bank of Canada moves rates, how long before household borrowing and debt-service pressure change?

Reset filters

Household credit growth

Peak growth was 8.69% in May 2022

4.05%

Prime rate now (%)

Peak was 7.20% in Jul 2023

4.45

Strongest lag

Correlation -0.52

18 months

Debt service ratio, latest

As of Apr 2026. Peak was 15.17%.

14.52%

What the data shows

- Household credit is $3.30 trillion and growing 4.05% a year, down from an 8.69% peak in May 2022.
- The prime rate rose from 2.45% in Feb 2022 to 7.20% in Jul 2023 and is 4.45% now.
- Credit growth is lowest about 18 months after a rate rise (correlation -0.52), but the delay depends on the method.

What I would do

- Plan for a delayed response: review lending targets against rate moves from 12 to 24 months earlier.
- Watch the debt service ratio next to rates each quarter. It was 15.17% in early 2023 and is 14.52% now.
- Add delinquency or arrears data to test whether higher debt service led to missed payments.

How to use this report

- Use the page tabs (bottom in Desktop, left in the Service) to move between pages.
- Rates, Credit and Rate lag go deeper; pick a lag in months and the scatter and correlation update.
- Reset filters clears every slicer. The Year filter carries across pages.

About the data and model

- Sources: Bank of Canada Valet API and Statistics Canada tables 36-10-0639, 38-10-0238 and 11-10-0065. Market-level data only.
- Star schema: monthly credit and rate facts, quarterly debt service, and Date, Category and Debt measure dimensions.
- Credit runs to Aug 2026, rates to Oct 2026 and debt service to Apr 2026.

Footnote: rates and credit both trend, so the lag is descriptive and not proof of cause. The strongest lag is about 18 months using the 12-month change in the prime rate, and about 8 months using the rate level.

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Rates rose fast in 2022 and 2023, then eased

The Bank of Canada policy rate, prime rate and 5-year mortgage rate, monthly.

Year

All

The prime rate is 4.45%, down from a peak of 7.20% in Jul 2023.

Reset filters

Prime rate (%)
As of Oct 2026
4.45

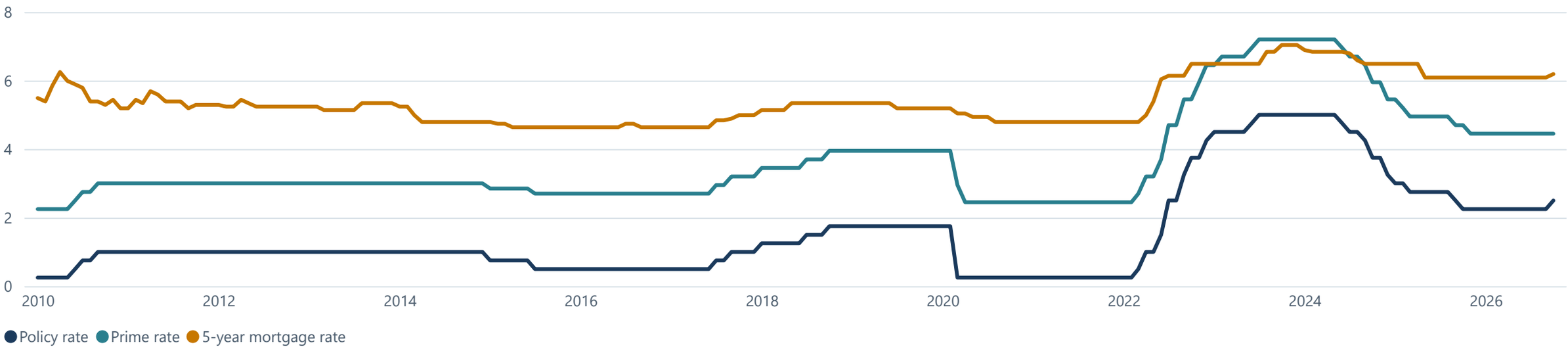
5-year mortgage rate (%)
1.74 pts above prime
6.19

Policy rate (%)
As of Oct 2026
2.50

Highest prime rate (%)
Peak was 7.20% in Jul 2023
7.20

Policy, prime and mortgage rates by month

Prime follows the policy rate closely; the mortgage rate moves with a smaller gap.



01 · The 2022 to 2023 rise

2.45% to 7.20%

The prime rate rose from 2.45% in Feb 2022 to 7.20% in Jul 2023, held there for 11 months, and is 4.45% now.

02 · The mortgage rate

6.19%

The 5-year mortgage rate is 6.19%, 1.74 points above prime, while the policy rate is 2.50%.

03 · Read with care

Weekly

Prime and mortgage rates are weekly series, so each month shows the last weekly value.

Footnote: rates are shown to two decimals because that is how they are published. Prime and mortgage rates are weekly series, so each month shows the last weekly value.

Data: Bank of Canada Valet API; Statistics Canada tables 36-10-0639, 38-10-0238, 11-10-0065. Market-level data, not customer data.

Credit to Aug 2026 | Rates to Oct 2026 | Debt service to Apr 2026

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Household credit growth has slowed from its 2022 peak

Balances and year-over-year growth, seasonally adjusted, for the total and each credit category.

Year

All

Household credit is $3.30 trillion and growing 4.05% a year, down from a peak of 8.69%.

Reset filters

Household credit

As of Aug 2026

$3.30T

Growth vs a year earlier

Peak growth was 8.69% in May 2022

4.05%

Mortgages' share of credit

As of Aug 2026

74.52%

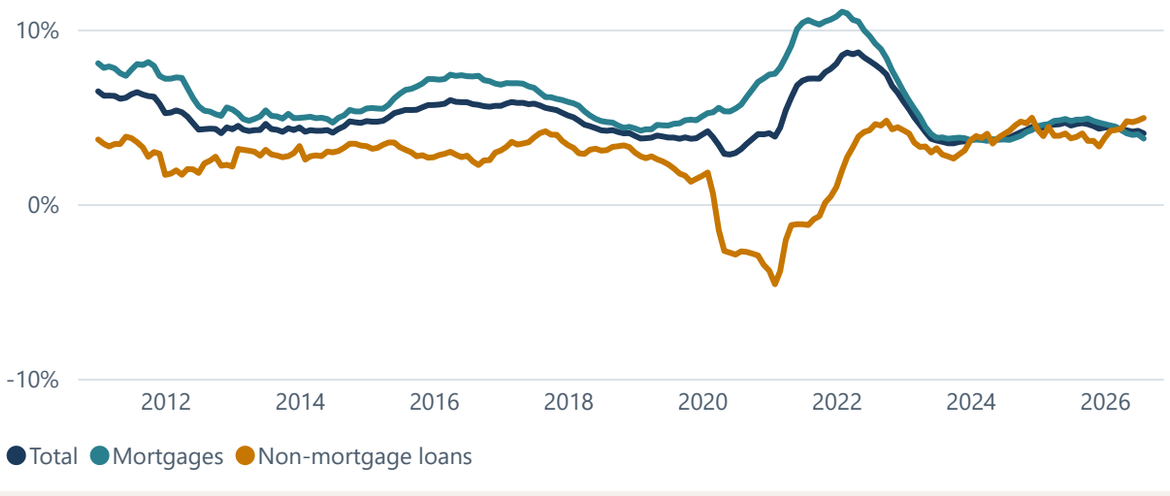
Non-mortgage loan growth

As of Aug 2026

4.93%

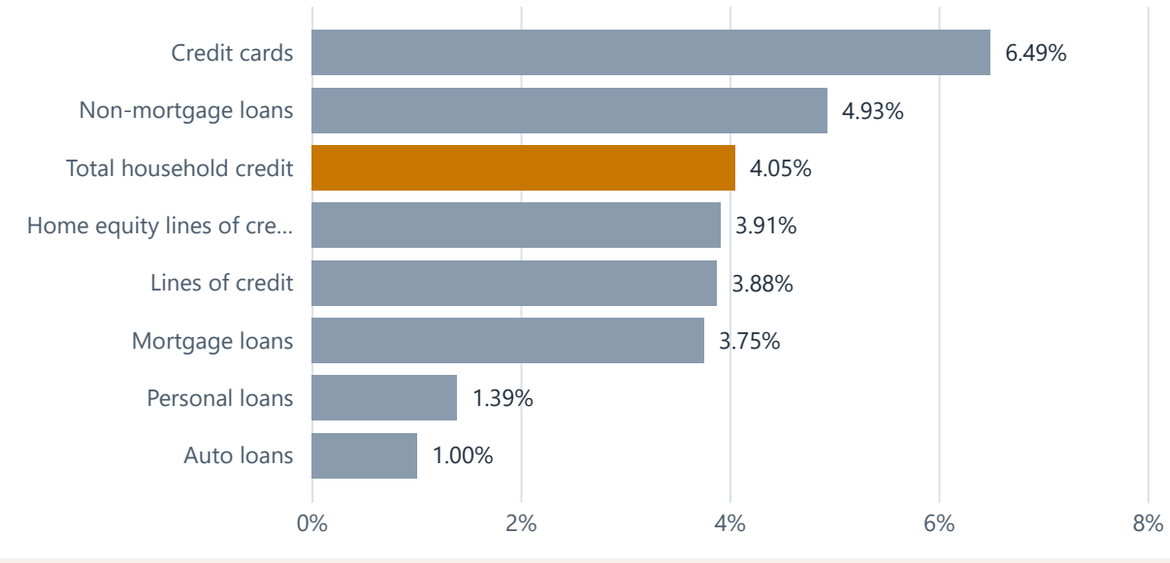
Credit growth by month

Year-over-year growth for the total, mortgages and other loans.



Latest growth, by category

Credit cards grow fastest; auto loans and personal loans barely grow.



Category scorecard

Latest balance, a year earlier and growth. Categories overlap (mortgages are part of the total), so balances do not add up.

Category	Balance ($B)	Growth vs a year earlier	Balance a year earlier ($B)
Total household credit	3,298.20	4.05%	3,169.80
Mortgage loans	2,457.75	3.75%	2,368.86
Non-mortgage loans	840.45	4.93%	800.94
Lines of credit	254.35	3.88%	244.86
Home equity lines of credit	184.68	3.91%	177.73
Personal loans	129.95	1.39%	128.17
Credit cards	121.18	6.49%	113.79
Auto loans	110.36	1.00%	109.26

01 · Total credit

$3.30T

Household credit grew from $1.48T in Jan 2010 to $3.30T in Aug 2026.

02 · Slowing growth

8.69% to 4.05%

Year-over-year growth peaked at 8.69% in May 2022, fell to 3.48% by Oct 2023 and is 4.05% now.

03 · By category

6.49%

Credit cards grow fastest at 6.49%, while auto loans (1.00%) and personal loans (1.39%) barely grow.

Footnote: balances are seasonally adjusted. Categories overlap (mortgages are part of the total), so balances do not add up. Credit cards and personal loans have early spikes that look like reclassifications, so only their latest figures are used.

Data: Bank of Canada Valet API; Statistics Canada tables 36-10-0639, 38-10-0238, 11-10-0065. Market-level data, not customer data.

Credit to Aug 2026 | Rates to Oct 2026 | Debt service to Apr 2026

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Credit growth slows about 18 months after rates rise

Compare credit growth with the prime-rate change a chosen number of months earlier.

Lag in months

All

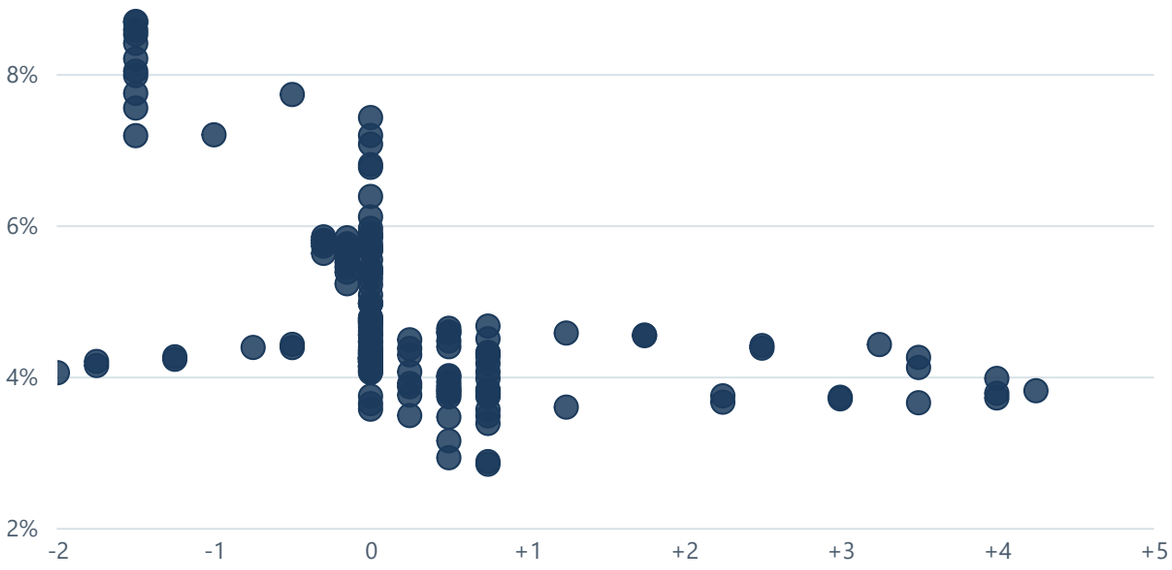
Credit growth responds most to a rate change after about 18 months. Use the lag selector to compare other lags.

Reset filters

Lag selected	Correlation at that lag	Strongest lag	Debt service ratio, latest
Change it with the dropdown	Credit growth vs earlier rate change	Correlation -0.52	As of Apr 2026. Peak was 15.17%.
18 months	-0.52	18 months	14.52%

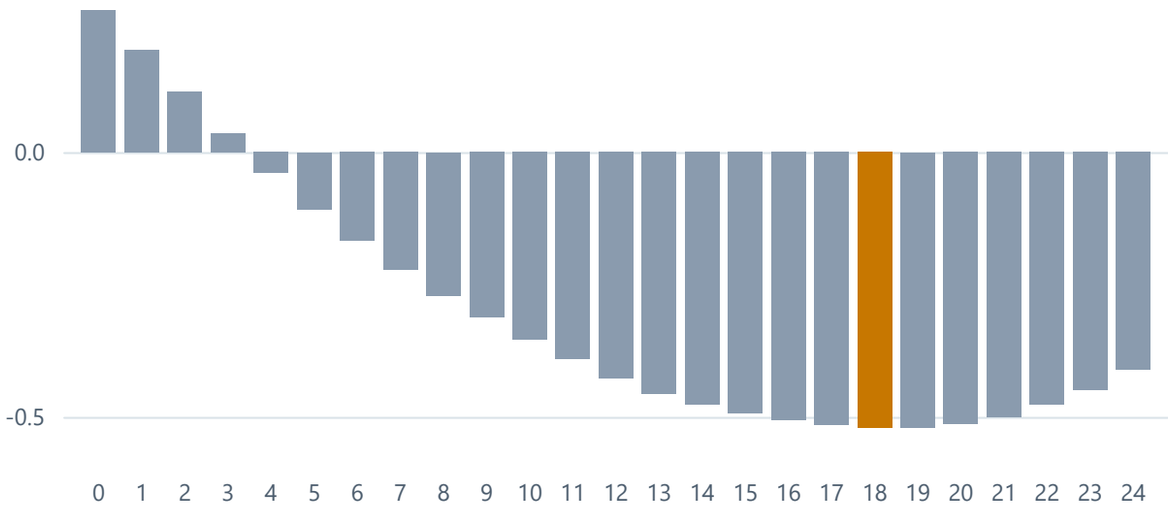
Credit growth against an earlier rate change

Each dot is a month. Change the lag to see the pattern shift.



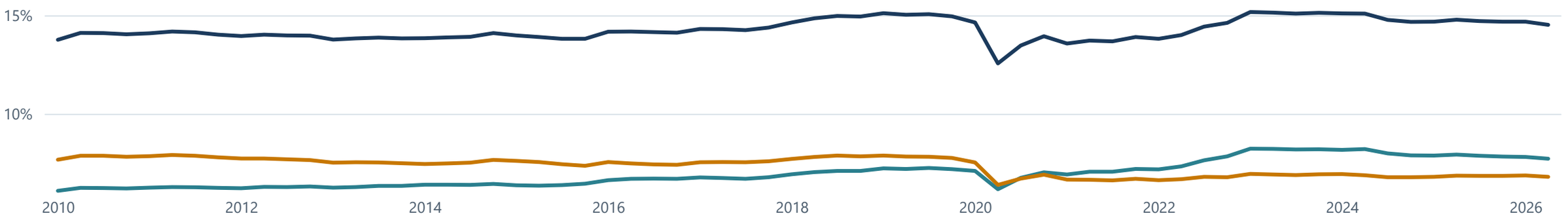
Correlation by lag

Negative means credit growth is lower after rates rise. The strongest value is highlighted.



Debt service ratio by quarter

Share of household income going to debt payments, seasonally adjusted at annual rates.



01 · The strongest lag

18 months

Credit growth is lowest 18 months after a rate rise, with a correlation of -0.52.

02 · Short lags

-0.17

At 6 months the correlation is only -0.17 and at 12 months -0.43, so the effect builds slowly.

03 · Read with care

Not a cause

Correlation is not causation. Using the rate level instead of its change, the best lag is about 8 months.

Footnote: correlation is not causation: rates, inflation and the economy all move together. Credit growth and the rate change both trend, and the 12-month windows overlap, so treat the lag as a pattern and not a precise delay.

Data: Bank of Canada Valet API; Statistics Canada tables 36-10-0639, 38-10-0238, 11-10-0065. Market-level data, not customer data.

Credit to Aug 2026 | Rates to Oct 2026 | Debt service to Apr 2026

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Before any analysis: what each number in the file means

What each source covers, where the gaps are, and what I did about them.

What each source covers

The three sources end on different dates, so each chart shows its own end date.

Source	Frequency	First	Last	Rows
Household credit (Statistics Canada)	Monthly	Jan 2010	Aug 2026	1,528
Interest rates (Bank of Canada)	Monthly, from weekly series	Jan 2010	Oct 2026	202
Debt service ratio (Statistics Canada)	Quarterly	Jan 2010	Apr 2026	198
Rate-lag correlations (my calculation)	By lag, 0 to 24 months			25

Credit categories: where the gaps are

Auto loans start in 2016, the only gap. The other seven run from January 2010.

Category	First month	Last month	Months of data	Latest balance ($B)
Total household credit	Jan 2010	Aug 2026	200	3,298.20
Mortgage loans	Jan 2010	Aug 2026	200	2,457.75
Non-mortgage loans	Jan 2010	Aug 2026	200	840.45
Credit cards	Jan 2010	Aug 2026	200	121.18
Lines of credit	Jan 2010	Aug 2026	200	254.35
Home equity lines of credit	Jan 2010	Aug 2026	200	184.68
Personal loans	Jan 2010	Aug 2026	200	129.95
Auto loans	Jan 2016	Aug 2026	128	110.36

What I found in the data and what I did

- Category names repeat across the lender hierarchy (for example 'Chartered banks' appears under several parents), so I use only the 8 categories that appear once per month.
- Credit cards (2011 to 2012) and personal loans (2013 to 2014) show year-over-year spikes above 20% that look like reclassifications, so I use them as latest-month figures only.
- Prime and mortgage rates are weekly series, so each month shows the last weekly value.
- I found no Statistics Canada table with delinquency or arrears, so none is reported.
- Checks: every headline number was checked against the model tables.

Terms in plain language

- Policy rate: the Bank of Canada overnight rate. Prime rate: the rate banks charge their best customers; it follows the policy rate.
- Credit growth (year over year): the balance now divided by the balance a year earlier, minus 1.
- Debt service ratio: the share of household income used for debt payments.
- Lag: the months between a rate change and the credit growth it is compared with.
- Correlation: -1 to +1. Negative means credit growth is lower after rates rise. It is not proof of cause.

Data: Bank of Canada Valet API; Statistics Canada tables 36-10-0639, 38-10-0238, 11-10-0065. Market-level data, not customer data.

Credit to Aug 2026 | Rates to Oct 2026 | Debt service to Apr 2026